NewsBank inc.

California lawmakers propose billions in cuts to address looming budget deficit

March 18, 2024 | Sacramento Bee, The: Web Edition Articles (CA)
Author: Andrew Sheeler, The Sacramento Bee | Section: capitol_alert | 700 Words
OpenURL Link

Good morning and welcome to the A.M. Alert!

CALIFORNIA LAWMAKERS DISCUSS PLANS TO TACKLE BEHEMOTH DEFICIT

Last week, Democratic lawmakers in both the Senate and Assembly discussed their plans for closing the titanic budget deficit — either $38 billion or $73 billion, depending on who you talk to — with Senate Democrats announcing a plan to take “early action” to address the shortfall.

The proposal, by Senate President pro Tem Mike McGuire, D-North Coast, and Senate Budget and Fiscal Review Committee Chair Scott Wiener, D-San Francisco, calls for $17 billion in program cuts “and other solutions,” as well as adopts California Gov. Gavin Newsom’s proposal to use the Rainy Day Fund to help make up the difference.

According to the pro tem’s office, these actions would bring the shortfall “down to a more manageable $9 billion to $24 billion” and buy lawmakers some time to figure out how to close the remaining gap.

“The Senate’s plan to shrink the shortfall protects core programs, includes no new tax increases for Californians, makes necessary reductions, and takes a prudent approach to utilizing the Rainy Day Fund so we can be prepared for any future tough times,” said McGuire in a statement.

Wiener said in a statement that “time is truly of the essence” for action to be taken.

Newsom last week voiced his approval for the plan, saying in a statement, “The deficit we’re facing this year will require big solutions, and I appreciate the Senate’s plan to close California’s budget deficit by $17 billion. I look forward to seeing this proposal move forward quickly.”

On the Assembly side, Assembly Budget Committee Chair Jesse Gabriel, D-Encino, agreed that early action to address the shortfall “is on the table,” but said his preference “would be that we do more of our work in June,” when lawmakers have more tools available to address the deficit.

Gabriel said Newsom’s proposal to use about half of the state’s reserves “sounds about right,” and he agreed that the budget solution should include no new taxes on individuals or families. He said it was important for lawmakers to look at spending first.

At a press conference Friday, Gabriel was asked about the Legislative Analyst’s Office recommendation that the state close down five prisons and save $1 billion.

Gabriel hedged a bit on whether he supports the proposal, but said that it is one that lawmakers are looking at.

“In this type of environment, we have to consider everything,” he said.

QUOTE OF THE DAY

“It’s a multi-dimensional story in the Central Valley because these districts voted against Donald Trump in 2016 and 2020 by a healthy margin. But at the state level, there is a lot of anger with Democratic management of issues in

Sacramento. And so these districts tend to vote against Gavin Newsom, or at least by a weaker margin for Newsom, than they would for Biden or Clinton or a national Democrat.”

- Dave Wasserman of the Cook Political Report, discussing California’s hotly contested congressional races in an interview with The Bee.

Best of The Bee:

California congressional contests could decide whether Democrats or Republicans control the House of Representatives in 2025 — and a couple in the Central Valley are especially crucial, via Gillian Brassil.After weeks of protests shutting down council meetings, the Sacramento City Council will consider adopting a Gaza cease-fire resolution Tuesday, via Theresa Clift.Who ate Cedar the goat? Nearly two years after a Northern California family bought the 4-month-old goat for their daughter, then spirited it away from a county fair before it could be auctioned for its meat, that question remains at the center of a legal fight over what happened to Cedar, via Sam Stanton.California Gov. Gavin Newsom’s office has broken its silence on the staffing crisis at Cal-OSHA. But former agency employees say they’re underwhelmed by the governor’s vague response to a four-month Sacramento Bee investigation into the troubled worker safety agency, via Maya Miller.Woodland Joint Unified High School District board member Emily MacDonald resigned from her position earlier this week, according to school board president Rogelio Villagrana. MacDonald is currently is losing a recall election that Woodland parents organized against her last fall, because of comments that she made about trans people, as well as her stance on ethnic studies, via Jenavieve Hatch.

Copyright (c) 2024 The Sacramento Bee

- **Citation (apa Style)**
  Sheeler, A. (2024, March 18). California lawmakers propose billions in cuts to address looming budget deficit*Sacramento Bee, The: Web Edition Articles (CA)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/197E0D3A31852F60.